

be a high barrier to get over for many people. Using debt allows you to commit a small amount of your own money to control an asset worth much more.

Even if you can buy real estate with cash, using debt can make it far more profitable. Assume you could purchase a house for \$100,000 and make a \$5,000 profit over one year, this would be a 5 percent return on investment (ROI). But what if you use leverage? If you could put down only 20 percent, or \$20,000, and still make \$5,000, you've made a 25 percent ROI on the same deal. Instead of tying up your own money to purchase the asset, you can use your tenant's rent money to pay down your mortgage.

Buying leveraged real estate is a tax-efficient way to build wealth. If you don't use leverage, you need to save after-tax dollars to purchase a property. The rent you collect on these paid-off homes would then be mostly profit, which is also taxable income. Using financial leverage allows you to invest less of your own after-tax dollars. You then apply a portion of the rental income to the business expense of paying interest on this debt, which is not taxable. This allows you to accumulate wealth while limiting your tax burden. *(Note: These tax benefits are specific to the US tax code. Laws in other countries may vary.)*